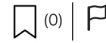


Question



Barone's Repair Shop was started on May 1 by Nancy Barone. A summary of May transactions is presented below.

1. Invested \$10,000 cash to start the repair shop.
2. Purchased equipment for \$5,000 cash.
3. Paid \$400 cash for May office rent.
4. Paid \$500 cash for supplies.
5. Incurred \$250 of advertising costs in the Beacon News on account.
6. Received \$5,100 in cash from customers for repair service.
7. Withdrew \$1,000 cash for personal use.
8. Paid part-time employee salaries \$2,000.
9. Paid utility bills \$140.
10. Provided repair service on account to customers \$750.
11. Collected cash of \$120 for services billed in transaction (10).

Instructions

- (a) Prepare a tabular analysis of the transactions, using the following column headings: Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, N. Barone, Capital; N. Barone, Drawings; Revenues, and Expenses.
- (b) From an analysis of the owner's equity columns, compute the net income or net loss for May.

Expert Answer

100% (1 rating)

This solution was written by a subject matter expert. It's designed to help students like you learn core concepts.

Anonymous answered this
6,034 answers

The answer has been presented in the supporting sheet. All the parts has been solved with detailed explanation and calculation. For detailed answer refer to the supporting sheet.

	A	B	C	D	E	F	G	H	I	J	K	L	M	N	O	P	Q	R
1	Answer																	
2	Part a)																	
3		Assets								Capital and Liabilities								
4	Transaction	Cash	+	Account Receivable	+	Supplies	+	Equipment	=	Account Payable	+	N. Brone Capital	-	N. Brone Drawings	+	Revenues	-	Expenses
5	1	10000										10000						
6	2	-5000						5000										
7	3	-400															400	
8	4	-500				500												
9	5								250									250
10	6	5100														5100		
11	7	-1000											1000					
12	8	-2000															2000	
13	9	-140															140	
14	10			750												750		
15	11	120		-120														
16	Total	6180		630		500		5000		250		10000		1000		5850		2790
17																		
18	Part b)																	
19	Net income for may = total revenue - total expenses																	
20	= 5850 - 2790																	
21	= \$ 3060																	
22																		
23	Thus the correct answer income for the month of may = \$ 3060																	

Was this answer helpful?

1

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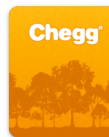
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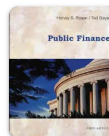
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Q: Barone's Repair Shop was started on May 1 by Nancy Barone. A summary of May transactions is presented below. 1. Invested \$10,000 cash to start the repair shop. 2. Purchased equipment for \$5,000 cash. 3. Paid \$400 cash for May office rent. 4. Paid \$500 cash for supplies. 5. Incurred \$250 of advertising costs in the Beacon News on account. 6. Received \$5,100 in cash from customers for repair service. 7. Withdrew \$1,000 cash for personal use. 8. Paid part-ti...

A: [See answer](#)

Q: Fredonia Repair Inc. was started on May 1. A summary of May transactions is presented below. 1. Stockholders invested \$15,500 cash in the business in exchange for common stock. 2. Purchased equipment for \$5,500 cash. 3. Paid \$200 cash for May office rent. 4. Paid \$600 cash for supplies. 5. Incurred \$300 of advertising costs in the Beacon News on account. 6. Received \$5,000 in cash from customers for repair service. 7. Declared and paid a \$1,000 cash dividend...

A: [See answer](#)  100% (3 ratings)

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Q: Barone's Repair Shop was started on May 1 by Nancy Barone. A summary of May transactions is presented below. 1. Invested \$10,000 cash to start the repair shop. 2. Purchased equipment for \$5,000 cash. 3. Paid \$400 cash for May office rent. 4. Paid \$500 cash for supplies. 5. Incurred \$250 of advertising costs in the Beacon News on account. 6. Received \$5,100 in cash from customers for repair service. 7. Withdrew \$1,000 cash for personal use. 8. Paid part-ti...

A: [See answer](#)  100% (1 rating)

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A: [See answer](#)

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